

ECONOMICS 131: PUBLIC ECONOMICS

Spring Term 2026

Official Lecture Time Slot: Monday 5-8pm PT

Instruction Type: In-Person Instruction with Attendance Taken and Lecture Videos Posted

Professor Danny Yagan

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Lecture: Monday 5-8pm PT in Dwinelle room 155

Office hours: Mondays 2-4pm in Evans 647 (except on Campus holidays/break or unless otherwise noted by bCourses announcement)

Graduate Student Instructors (GSIs):

James Hickman

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Sections 103, 106, 108

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Sections 101, 102, 109

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Steve Ramos

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Sections 104, 105, 107

Office Hours: Thursdays 9-11am in Evans 640

Enrollment

Unlike other departments, the Economics Department staff---not this course's professor or GSIs---handles enrollment. We do not add students or sign forms in any way. The Department relies completely on CalCentral for handling enrollment. If you have any questions about enrollment, please contact the Department's Head GSI (headgsi@econ.berkeley.edu).

Special Accommodations

If you require special accommodations for this class, please contact me no later than 3 weeks before the midterm/final exam and the Disabled Students Program (DSP). The DSP office is located at 260 César E. Chávez Student Center, #4250. Details can be found online at dsp.berkeley.edu.

Course Description

This course focuses on the role of the government in the economy. The aim is to provide an understanding of the reasons for government intervention in the economy, analyzing the benefits of possible government policies, and the response of economic agents to the government's actions. The course covers tax policy and inequality, social insurance programs, public goods, environmental protection, and the interaction between different levels of government. Special emphasis is on current policy issues such as social security

reform, health care reform, income tax reform, and budget deficits.

Prerequisites: Economics 100a or 101a. Students should be comfortable with multivariate calculus.

Course Website:

All lecture slides, handouts, and announcements will be posted online on the course website on bCourses. The course website is: <https://bcourses.berkeley.edu/courses/1550580> . If you want to be manually added to bCourses because you are on the waitlist and not yet formally enrolled, email the GSIs.

Requirements

1) Lectures – Monday 5pm-8pm.

2) Readings –

Jonathan Gruber, Public Finance and Public Policy (any edition) is optional but recommended textbook (most lectures loosely follow the Gruber book). Earlier editions of the textbook are totally fine.

The other readings discussed in the lecture notes can be found in the reference list for each lecture with web links to the pdf files.

Lecture slides will be posted on the bCourses website. These slides are not comprehensive and not self-explanatory and do not include everything covered in class. Note also that lectures do not always cover 100% of the material from the slides. Attending lectures is critical for learning and for success in the class. A major share of the credit for problem sets, midterms, and final will be based on conceptual understanding of ideas taught in lectures. You will also be expected to apply data-analysis reasoning and to solve mathematical problems related to those covered in lectures and in sections.

Grading

The grading breakdown will be: 40% final exam, 20% midterm exams, 30% problem sets, and 10% attendance. For students who did not earn a zero on either midterm exam, their lower midterm exam score will be replaced by their final exam score if doing so improves their overall course grade. Constructive participation in lecture and section can result in extra credit applied at the end of the term.

The midterm exams will be in class. The final exam will be during the standard final exam time. There are no take-home exams. No aids of any kinds (notes, phone, computer) are allowed during any exam. All three exams will be written exams on paper.

There will be no written make-up final exam for any reason. If an extremely extenuating circumstance yields professor approval for missing the final exam, your make-up exam will be a 20-minute in-person one-on-one spoken exam with the professor.

Final grades generally follow a curve: 35% A, 45% B, 15% C, 5% D or F, with an F often given because someone did not take the final exam. The curve is not strict (i.e., I adjust the grade distribution each term according to classroom performance), but that curve gives you a sense of what the grade distribution generally looks like.

1) Exams: Midterm #1, 3/2 5:10-6:10pm PT (followed by lecture 6:20-8pm PT)

Midterm #2, 4/6 5:10-6:10pm PT (followed by lecture 6:20-8pm PT)

Final, 5/15 3-6pm PT

The final will be cumulative and based on the full material covered in class, including material tested in the midterms.

There are no notes, "cheat sheets", calculators, or study aids allowed.

You need to know key definitions -- including basic formula definitions like how the U.S. poverty rate is defined, the equation for the evolution of government debt from year to year, and how elasticities are defined.

You do not need to memorize formulas that we mathematically derive in class, but you do need to know the concepts and lessons that those formulas communicate. For example, you do not need to memorize the formula for the optimal top income tax rate, but you do need to know that the optimal top tax rate is small if the top taxable income elasticity is large.

2) Problem Sets: 3 problem sets due by 5:00 PM PT on 2/23, 3/30, and 4/27.

Group work is permitted, but each student must write up and turn in his/her own solutions. All problem sets must be submitted online through Gradescope by the designated time (no exceptions for late problem sets as solutions will be posted shortly after the deadline).

3) Attendance: 10% of the grade based on attendance and participating in iClicker questions (students can miss up to 2 lectures out of 12 with no penalty) = 1 point awarded for each lecture attended with participation up to 10 points max. Attendance and in-class questions through [iClicker cloud](#).

Regrade policy

Midterm regrade requests must concern an issue that is worth at least 3 points and must be accompanied by a one-page explanation for why you think your exam warrants a regrade. For problem sets, regrade requests must be accompanied by a one-page explanation for why you think your problem set warrants a regrade. Regrade requests must be received within one week of the assignment/exam being returned to you. Note that any re-grade request will result in the entire assignment or test being re-graded, with the possibility of an upward or downward adjustment to your assigned grade.

Academic Honesty Policy

In fairness to students who put in an honest effort, cheating will be harshly treated. Any evidence of cheating will result in a score of zero (0) on that assignment. Cheating on a midterm or the final exam results in an "F" for the course. Cheating includes but is not limited to copying off another person's exam or assignment, allowing someone to copy off of your exam or assignment, having someone take an exam or assignment for you, or changing an exam answer after an exam is graded. Incidences of cheating are reported to Center for Student Conduct, which administers additional punishment. See also <https://conduct.berkeley.edu/code-of-conduct/>.

Fire Alarm Policy

A truly annoying bad habit at UCB is the pulling of fire alarms by ill-prepared and selfish students who foolishly think their entire future rests on one midterm grade. This crime is a felony, punishable by a fine and time in jail. In addition, anyone caught pulling the alarm will fail the course and is subject to expulsion from the University. **If the alarm is pulled during an exam, the class will move outside and finish the exam in the allotted time. In this event, follow the instructions of the GSIs.**

COURSE OUTLINE

The twelve 3-hours long lectures loosely follow the Gruber textbook. We first cover topics covered in chapters 1-4 of Gruber. Second, we cover the topics covered in chapters 17-25. Finally, we cover topics covered in chapters 5-16 of the Gruber textbook.

- 1) Introduction to public economics and Budget and debt analysis
Gruber, Chapter 1, 4
- 2) Taxation and Redistribution I: Background and tax incidence
Gruber, Chapters 17, 18, 19 [lectures do not follow Gruber textbook closely]
- 3) Taxation and Redistribution II: Labor Income Taxes and Transfers
Gruber, Chapters 20, 21 [lectures do not follow Gruber textbook closely]
- 4) Taxation and Redistribution III: Capital Income Taxation
Gruber, Chapters 22 & 23 & 24 & 25 [lectures do not follow Gruber textbook closely]
- 5) Role of the government I: Externalities
Gruber, Chapters 5-6
- 6) Role of the government II: Public Goods
 - A) Basic theory (Gruber Chapter 7)
 - B) Local public goods (Gruber Chapter 10)
 - C) Public Provision of Private Goods: Education (Gruber, Chapter 11)
- 7) Role of the government III: Social Insurance
 - A) Overview (Gruber, Chapter 12)
 - B) Health Insurance (Gruber, Chapters 15 & 16)
 - C) Social Security (Gruber, Chapter 13)
 - D) Unemployment Insurance, Workers Compensation, Disability Insurance
(Gruber, Chapter 14)